

FLOOR AMENDMENT

HOUSE OF REPRESENTATIVES

State of Oklahoma

SPEAKER:

CHAIR:

I move to amend HB4003 _____
Of the printed Bill
Page _____ Section _____ Lines _____
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

AMEND TITLE TO CONFORM TO AMENDMENTS

Adopted: _____

Amendment submitted by: Trey Caldwell

Reading Clerk

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE
FOR

HOUSE BILL NO. 4003

By: Caldwell (Trey)

FLOOR SUBSTITUTE

An Act relating to the Tobacco Settlement Endowment Trust; creating the Funding the Future of Oklahoma - TSET Modernization Act; amending 62 O.S. 2021, Section 2302, which relates to the purpose of the Tobacco Settlement Endowment Trust; eliminating reference to the Tobacco Settlement Endowment Trust Board of Directors; expanding duties of the Tobacco Settlement Endowment Trust Board of Investors; amending 62 O.S. 2021, Section 2304, which relates to the Appointments of the Board of Investors and Directors of the Tobacco Settlement Endowment Trust Fund; eliminating reference and appointment process of the Board of Directors; amending 62 O.S. 2021, Section 2306, which relates to the duties of the Board of Investors of the Tobacco Settlement Endowment Trust; limiting investment in certain asset type; eliminating certain duties; establishing duty to distribute trust fund earnings under referenced methodologies; amending 62 O.S. 2021, Section 2307, which relates to determination of earnings of the Tobacco Settlement Endowment Trust; eliminating certain consideration; adding certain consideration; creating the TSET Legacy Effort Revolving Fund; placing the fund under the State Department of Health; establishing revolving fund characteristics; requiring and limiting expenditure for certain purpose; providing expenditure and budgeting procedures; providing for Legacy Effort Grants; establishing eligibility; exempting awards from the Oklahoma Central Purchasing Act; requiring the development and implementation of certain processes; providing for confidential treatment of applications and proposals during certain periods; establishing

1 applicability of the Oklahoma Open Records Act and
2 the Oklahoma Open Meeting Act under certain
3 conditions; limiting total amount of awards;
4 authorizing the promulgation of rules; repealing 62
5 O.S. 2021, Sections 2308, 2309, and 2310, which
6 relate to the Board of Directors of the Tobacco
7 Settlement Endowment Trust and the Board's powers and
8 budget; providing for noncodification; providing for
9 codification; and providing a conditional effective
10 date.

11 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

12 SECTION 1. NEW LAW A new section of law not to be
13 codified in the Oklahoma Statutes reads as follows:

14 This act shall be known and may be cited as the "Funding the
15 Future of Oklahoma - TSET Modernization Act".

16 SECTION 2. AMENDATORY 62 O.S. 2021, Section 2302, is
17 amended to read as follows:

18 Section 2302. The purpose of the Tobacco Settlement Endowment
19 Trust Fund Act is to further implement the provisions of Section 40
20 of Article X of the Oklahoma Constitution that:

21 1. Created the Tobacco Settlement Endowment Trust Fund, and the
22 Board of Investors of the Tobacco Settlement Endowment Trust Fund,
23 ~~and the Board of Directors of the Tobacco Settlement Endowment Trust~~
24 ~~Fund;~~

1 2. Directs the apportionment of revenues from settlements with
2 or judgments against tobacco companies between the Tobacco
3 Settlement Endowment Trust Fund and a special fund established for
4 the purpose of receiving tobacco settlement payments not deposited
5 to the trust fund; and

6 3. Authorizes the Board of ~~Directors~~ Investors of the Tobacco
7 Settlement Endowment Trust Fund to ~~expend~~ administer and transfer
8 trust fund earnings for specific purposes.

9 SECTION 3. AMENDATORY 62 O.S. 2021, Section 2304, is
10 amended to read as follows:

11 Section 2304. ~~A.~~ Appointments to the Board of Investors of the
12 Tobacco Settlement Endowment Trust Fund shall be staggered as
13 provided in this section, pursuant to the provisions of Section 40
14 of Article X of the Oklahoma Constitution. The initial staggered
15 terms of office of persons appointed prior to April 10, 2001, or
16 persons appointed to fill the remainder of an initial term of office
17 shall be as follows:

18 1. The term of office of the person appointed by the Speaker of
19 the House of Representatives shall expire June 30, 2001;

20 2. The term of office of the person appointed by the President
21 Pro Tempore of the Senate shall expire June 30, 2002;

22 3. The term of office of the person appointed by the Governor
23 shall expire June 30, 2003; and
24

1 4. The term of office of the person appointed by the State
2 Auditor and Inspector shall expire June 30, 2004.

3 Thereafter, persons shall be appointed for terms of four (4)
4 years beginning July 1. Any vacancy shall be filled by the
5 appointing authority for the remainder of the unexpired term.

6 ~~B. Appointments to the Board of Directors of the Tobacco~~
7 ~~Settlement Endowment Trust Fund shall be staggered as provided in~~
8 ~~this section, pursuant to the provisions of Section 40 of Article X~~
9 ~~of the Oklahoma Constitution. The initial staggered terms of office~~
10 ~~of persons appointed prior to April 10, 2001, or persons appointed~~
11 ~~to fill the remainder of an initial term of office shall be as~~
12 ~~follows:~~

13 ~~1. The term of office of the person appointed by the Speaker of~~
14 ~~the House of Representatives shall expire June 30, 2001;~~

15 ~~2. The term of office of the person appointed by the President~~
16 ~~Pro Tempore of the Senate shall expire June 30, 2002;~~

17 ~~3. The term of office of the person appointed by the Governor~~
18 ~~shall expire June 30, 2003;~~

19 ~~4. The term of office of the person appointed by the Attorney~~
20 ~~General shall expire June 30, 2004;~~

21 ~~5. The term of office of the person appointed by the State~~
22 ~~Treasurer shall expire June 30, 2005;~~

23 ~~6. The term of office of the person appointed by the State~~
24 ~~Auditor and Inspector shall expire June 30, 2006; and~~

1 ~~7. The term of office of the person appointed by the State~~
2 ~~Superintendent of Public Instruction shall expire June 30, 2007.~~

3 ~~Thereafter, persons shall be appointed for terms of seven (7)~~
4 ~~years beginning July 1. Any vacancy shall be filled by the~~
5 ~~appointing authority for the remainder of the unexpired term.~~

6 SECTION 4. AMENDATORY 62 O.S. 2021, Section 2306, is
7 amended to read as follows:

8 Section 2306. A. The Board of Investors of the Tobacco
9 Settlement Endowment Trust Fund shall discharge their duties as
10 trustees of the Tobacco Settlement Endowment Trust Fund:

11 1. With the care, skill, prudence, and diligence, under the
12 circumstances then prevailing, that a prudent person acting in a
13 like capacity and familiar with such matters would use in the
14 conduct of an enterprise of a like character and with like aims;

15 2. By diversifying the investments in the trust fund so as to
16 minimize the risk of large losses, unless, under the circumstances,
17 it is clearly prudent not to do so; and

18 3. In accordance with the laws, documents, and instruments
19 governing the trust fund.

20 B. The Board of Investors shall retain qualified investment
21 managers to provide for the investment of the monies of the trust
22 fund. The investment managers shall be chosen by a solicitation of
23 proposals on a competitive basis pursuant to standards set by the
24 Board of Investors. The investment managers shall manage those

1 monies of the trust fund allocated to the investment managers in
2 compliance with the overall investment guidelines set by the Board
3 of Investors. The monies of the trust fund allocated to the
4 investment managers shall be managed by the investment managers in
5 accordance with the investment guidelines and other directions of
6 the Board of Investors. The investment managers may sell
7 investments and realize losses if such action is considered
8 advantageous to longer-term return maximization. Because of the
9 total return objective, no distinction shall be made for management
10 and performance evaluation purposes between realized and unrealized
11 capital gains and losses. The Board of Investors may have the State
12 Treasurer manage those monies not specifically allocated to the
13 investment managers.

14 C. The trust fund may be invested in the manner in which a
15 prudent person would invest it and consistent with the manner that
16 state retirement funds are invested, provided that total investment
17 amounts directed toward venture capital opportunities shall not
18 aggregate to an amount greater than ten percent (10%) of the value
19 of the trust at the time of investment.

20 D. The Board of Investors shall select a custodial bank to
21 settle transactions involving the investment of funds in the trust
22 fund and to hold custody of the securities in the trust fund
23 portfolio. The custodian shall be a bank or trust company offering
24 pension fund master trustee and master custodial services. The

1 custodian shall be chosen by a solicitation of proposals on a
2 competitive basis pursuant to standards set by the Board of
3 Investors. The Board of Investors may also select professional
4 investment consultants, auditors, and actuaries to assist the Board
5 of Investors in carrying out its fiduciary responsibilities. All
6 these professionals shall be selected by a solicitation of proposals
7 on a competitive basis pursuant to standards set by the Board of
8 Investors.

9 E. The Board of Investors shall choose the professional
10 custodians and managers of the assets of the trust fund, shall
11 establish investment and fund management guidelines, and shall adopt
12 an investment policy. The selection of investment managers,
13 investment consultants, auditors, and actuaries, and a custodian
14 bank shall be exempt from the provisions of the Oklahoma Central
15 Purchasing Act.

16 ~~F. The Board of Investors shall set aside cash reserves from~~
17 ~~the earnings of the Tobacco Settlement Endowment Trust Fund if~~
18 ~~requested by the Board of Directors of the Tobacco Settlement~~
19 ~~Endowment Trust Fund pursuant to subsection B of Section 10 of this~~
20 ~~act~~ The Board of Investors shall distribute trust fund earnings as
21 required pursuant to subsections E and F of the Section 40 of
22 Article X of the Oklahoma Constitution. The additional amount
23 required for distribution necessary to fully fund awards allowed
24 pursuant to the Oklahoma Higher Learning Access Act, shall be the

1 amount calculated annually pursuant to subparagraph b of paragraph 1
2 of Section 34.87 of Title 62 of the Oklahoma Statutes.

3 G. The State Treasurer shall provide any necessary staff
4 support to the Board of Investors. The cost of up to two full-time-
5 equivalent employees for the Office of the State Treasurer may be
6 considered as an administrative expense of the trust fund. ~~However,~~
7 ~~the amount provided to the State Treasurer for this purpose shall be~~
8 ~~determined by the Board of Directors of the Tobacco Settlement~~
9 ~~Endowment Trust Fund.~~

10 SECTION 5. AMENDATORY 62 O.S. 2021, Section 2307, is
11 amended to read as follows:

12 Section 2307. A. On or before September 1 of each year, the
13 Board of Investors of the Tobacco Settlement Endowment Trust Fund
14 shall determine the earnings of the trust fund for the previous
15 fiscal year ending June 30. In determining earnings, the Board of
16 Investors shall certify an amount which is prudent under the
17 standard set forth in paragraph C of this section. The earnings so
18 determined and certified by the Board of Investors for each fiscal
19 year shall constitute the earnings of the Tobacco Settlement
20 Endowment Trust Fund for the purposes of Section 40 of Article X of
21 the Oklahoma Constitution.

22 B. "Earnings" consist of dividends and interest, less fees to
23 manage the fund.

24

1 C. In the administration of the powers to determine earnings,
2 to make and retain investments, and to delegate investment
3 management of institutional funds, the Board of Investors shall
4 exercise ordinary business care and prudence under the facts and
5 circumstances prevailing at the time of the action or decision. In
6 so doing, the Board of Investors shall consider:

7 1. Long- and short-term needs of the trust fund in carrying out
8 its purposes including the funding of awards allowed pursuant to the
9 Oklahoma Higher Learning Access Act;

10 2. ~~The present and anticipated financial requirements for~~
11 ~~programs funded by the Board of Directors of the Tobacco Settlement~~
12 ~~Endowment Trust Fund;~~

13 ~~3.~~ Expected total return on its investments;

14 ~~4.~~ 3. Price level and inflation trends; and

15 ~~5.~~ 4. General economic conditions.

16 SECTION 6. NEW LAW A new section of law to be codified
17 in the Oklahoma Statutes as Section 1-105d.1 of Title 63, unless
18 there is created a duplication in numbering, reads as follows:

19 A. There is hereby created in the State Treasury a revolving
20 fund for the State Department of Health to be designated the "TSET
21 Legacy Effort Revolving Fund". The fund shall be a continuing fund,
22 not subject to fiscal year limitations, and shall consist of all
23 monies directed to the fund by law. All monies accruing to the
24 credit of said fund are hereby appropriated and may be budgeted and

1 expended by the State Department of Health as provided in subsection
2 B of this section. Expenditures from said fund shall be made upon
3 warrants issued by the State Treasurer against claims filed as
4 prescribed by law with the Director of the Office of Management and
5 Enterprise Services for approval and payment.

6 B. 1. The State Department of Health shall utilize the funds
7 of the TSET Legacy Effort Revolving Fund to fund Legacy Effort
8 Grants;

9 2. Eligibility for Legacy Effort Grants shall be limited to
10 private, nonprofit, and public entities who were receiving a grant
11 award from the Tobacco Settlement Endowment Trust during the 2025
12 calendar year;

13 3. The selection and awarding of grants, whether in the form of
14 professional service contracts or any other funding mechanism
15 developed by the State Department of Health, awarded pursuant to the
16 grant program developed under this subsection, shall be exempt from
17 the requirements of the Oklahoma Central Purchasing Act;

18 4. The State Department of Health shall develop competitive
19 processes for awarding Legacy Effort Grants under this subsection;

20 5. The terms of any request for proposals, request for
21 applications, invitations for bid, bid notice, grant proposal, or
22 any other solicitation issued by the State Department of Health to
23 solicit or invite applications, proposals, bids, or responses to
24 obtain funding under the Legacy Effort Grants program developed

1 under this subsection shall be confidential until the date and time
2 at which the solicitation is to be made equally and uniformly known
3 to all prospective applicants and the public, at which point all
4 such documents and information shall be uniformly known to all
5 prospective applicants and the public, and shall be subject to the
6 Oklahoma Open Records Act and Oklahoma Open Meeting Act. Any
7 application, proposal, bid, or any other document to obtain funding
8 responsive to any solicitation of the State Department of Health
9 under the Legacy Effort Grants program developed under this
10 subsection shall be confidential until the date and time of award of
11 the grant or contract, at which point all such documents and
12 information shall be subject to the Oklahoma Open Records Act and
13 Oklahoma Open Meeting Act. Any unsolicited application, proposal,
14 bid, or any other document to obtain funding shall not be considered
15 confidential and shall be subject to the Oklahoma Open Records Act
16 and Oklahoma Open Meeting Act at all times; and

17 6. The total cost of Legacy Effort Grant awards shall not
18 exceed the monies available in the TSET Legacy Effort Revolving
19 Fund, created in subsection A of this section.

20 C. The State Department of Health may promulgate rules as
21 required to implement the provisions of this section.

22 SECTION 7. REPEALER 62 O.S. 2021, Sections 2308, 2309,
23 and 2310, are hereby repealed.

24

SECTION 8. This act shall become effective only upon the adoption by the People of Oklahoma of the State Question created pursuant to Enrolled HJR 1077 of the Second Session of the 60th Oklahoma Legislature.

60-2-17191 JM 03/23/26